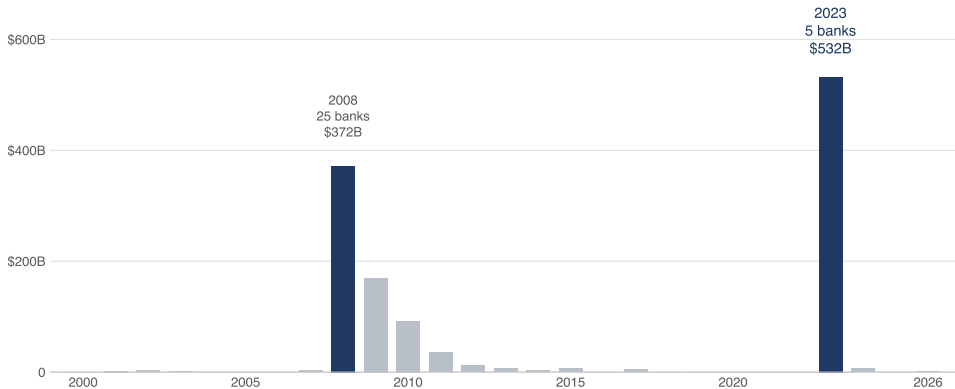


Early-Warning Model for U.S. Bank Capital Distress

*Identifying banks at risk of becoming undercapitalized
while corrective actions are possible*

Oussama Ennaciri | July 2026

2023 WAS THE LARGEST BANK-FAILURE YEAR ON RECORD



Total assets of failed U.S. banks by year. Source: FDIC BankFind Failures data (assistance transactions excluded).

Which U.S. banks are at risk of becoming undercapitalized, and how soon?

WHO ACTS

The bank's risk department, management, and the board; regulators second.

WHAT THEY DO

Raise capital, cut dividends, fix the balance sheet, while the options are still theirs.

IF NOBODY ACTS

Mandatory restrictions, then receivership, as happened to SVB in 2023.

HOW, AND WHY ME

- **Public data:** quarterly FDIC filings for every insured bank since 1992, including the same capital ratios regulators use.
- **The model:** flag the banks at risk of becoming undercapitalized, and how soon, before the options run out.
- **My angle:** two years at a broker-dealer working with risk and compliance teams; I have seen how these signals get used in practice.

Catch the risk while it is still the bank's choice.